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China Semiconductors

Hygon Information Technology Co Ltd

Rating

Outperform

Price Target

688041.CH **450.00 CNY**

Hygon 3Q26: GPM recovers, but supply constraints weigh on growth and cash flow

Hygon reported its 3Q26 results on Oct 20th, 2026. 3Q26 revenue hit RMB5.86Bn, up 45.5% YoY, much lower than our full year projection at 63% YoY. GPM recovered to 58.7% from 54.9% in 2Q26. We think the underlying demand on CPU in Agentic AI era will remain strong, despite the constrained upstream supply. **Maintain Outperform.**

Revenue missed, likely due to supply constrains and deferred revenue recognition. 3Q quarterly growth moderated to 45.5% from 65.3% in 2Q26. We believe supply shortages, including HBM availability for DCUs and foundry capacity, remain the main constraint. DCU might have longer revenue recognition timeline, as we can see the surge in account receivable QoQ. Server CPU demand remains robust, supported by domestic substitution and rising compute requirements from agentic AI. Separately, Hygon launched its 1000-series CPUs, extending its portfolio into embedded and edge applications.

GPM recovered 384bps QoQ, as we believe Hygon is able to optimize product mix under supply constrain. Gross profit increased 23.7% QoQ, outpacing revenue growth, although GPM remained 130bps below 3Q25. Hygon continued building inventory and increasing supplier prepayments to secure capacity and manage exposure to rising raw-material costs. Inventory reached RMB8.92Bn, up 1.40Bn QoQ, and prepayments increased to RMB5.9Bn, up from 1.1bn QoQ. We believe these commitments help protect delivery capacity, but they require cash well before the company collects revenue. The margin recovery is encouraging.

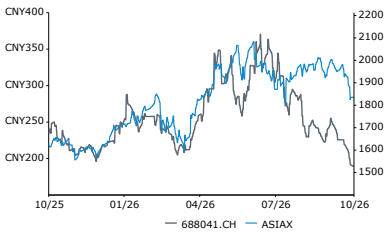
Cash conversion deteriorated further, increasing reliance on borrowing. Operating cash outflow reached RMB2.02Bn in 3Q26, versus RMB0.50Bn in 2Q26. Accounts Receivable increased RMB2.43Bn QoQ to RMB6.03Bn, alongside further inventory and prepayment increases. Contract liabilities remained negligible at RMB12Mn; their RMB2.01Bn decline from end-2025 largely occurred in 1H26, leaving little customer advance funding to offset working-capital needs. Net borrowing inflow reached RMB2.74Bn in 3Q26. Quarterly interest expense increased to RMB28Mn from RMB16Mn in 2Q26. We will watch receivable collection, inventory conversion and supplier commitments closely.

Close Date	20 Oct 2026
688041.CH Close Price (CNY)	192.00
Price Target (CNY)	450.00
Upside/(Downside)	134%
52-Week Range	395.17/186.00
ASIAX	1,830.19
FYE	Dec
Div Yield	0.2%
Market Cap (CNY) (M)	446,273
EV (CNY) (M)	449,858

Performance	YTD	1M	6M	12M
Absolute (%)	(14.4)	(20.5)	(26.7)	(16.1)
ASIAX (%)	11.9	(6.3)	0.4	13.3
Relative (%)	(26.4)	(14.1)	(27.0)	(29.4)

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



Reported EPS	F25A	F26E	F27E
688041.CH (CNY)	1.10	2.04	3.59

Financials	F25A	F26E	F27E	CAGR
Revenues (M)	14,377	23,477	39,667	--
Gross Margin (%)	57.8	61.1	61.6	--
Net Income Margin (%)	17.7	20.2	21.0	--

Valuation Metrics	F25A	F26E	F27E
Reported P/E (x)	174.5	94.0	53.4
PEG Reported (x)	5.4	1.1	0.7

Source: Bloomberg, Bernstein estimates and analysis.

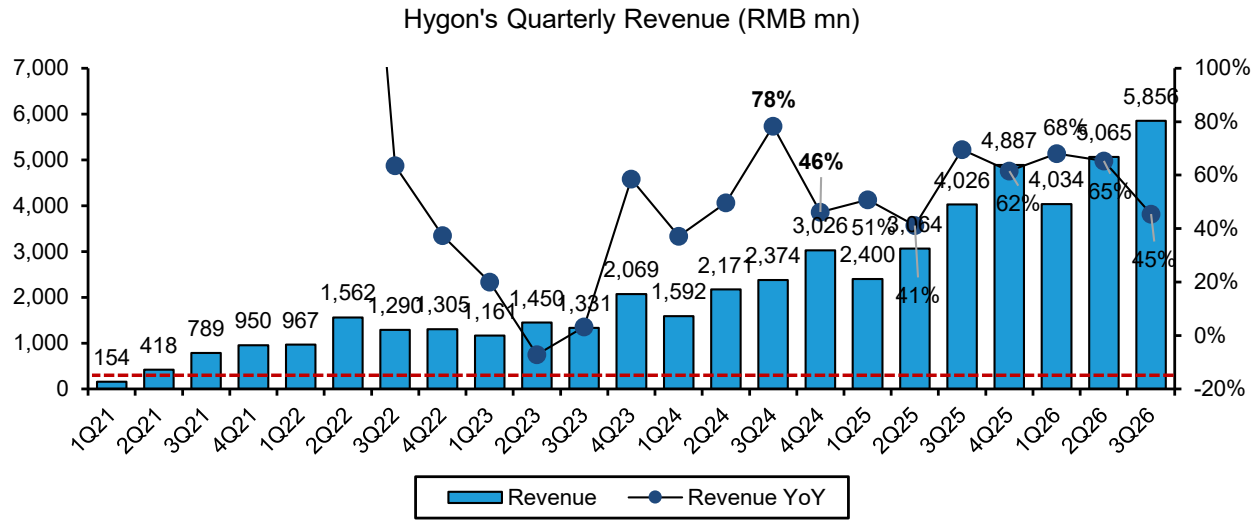
See the Disclosure Appendix of this report for required disclosures, analyst certifications and other important information. Alternatively, visit our Global Research Disclosure Website.
First Published: 20 Oct 2026 13:06 UTC Completion Date: 20 Oct 2026 13:06 UTC

EXHIBIT 1: **Hygon (688041.CH) Quarterly Results Review and Annual Forecast**

(RMB mn)	3Q26 Actual	2Q26 Actual	3Q25 Actual	QoQ	YoY	2026E Bernstein	2026E Consensus	Bern. YoY	Consensus YoY
Revenue	5,856	5,065	4,026	15.6%	45.5%	23,457	22,460	63%	56%
Gross Profit	3,439	2,781	2,417	23.7%	42.3%	13,819	12,904	66%	55%
GPM	*58.7%*	*54.9%*	*60.0%*	*384bps*	*-130bps*	*58.9%*	*57.5%*	*108bps*	*-37bps*
Operating Profit	1,448	1,192	1,200	21.5%	20.7%	6,415	6,135	78%	70%
OPM	*24.7%*	*23.5%*	*29.8%*	*120bps*	*-507bps*	*27.3%*	*27.3%*	*227bps*	*224bps*
Net Income	1,048	1,111	760	-5.7%	37.9%	4,612	4,578	81%	80%
NPM	*17.9%*	*21.9%*	*18.9%*	*-404bps*	*-98bps*	*19.7%*	*20.4%*	*196bps*	*268bps*
EPS (RMB)	0.45	0.48	0.33	-6.3%	36.4%	2.04	1.97	85%	79%

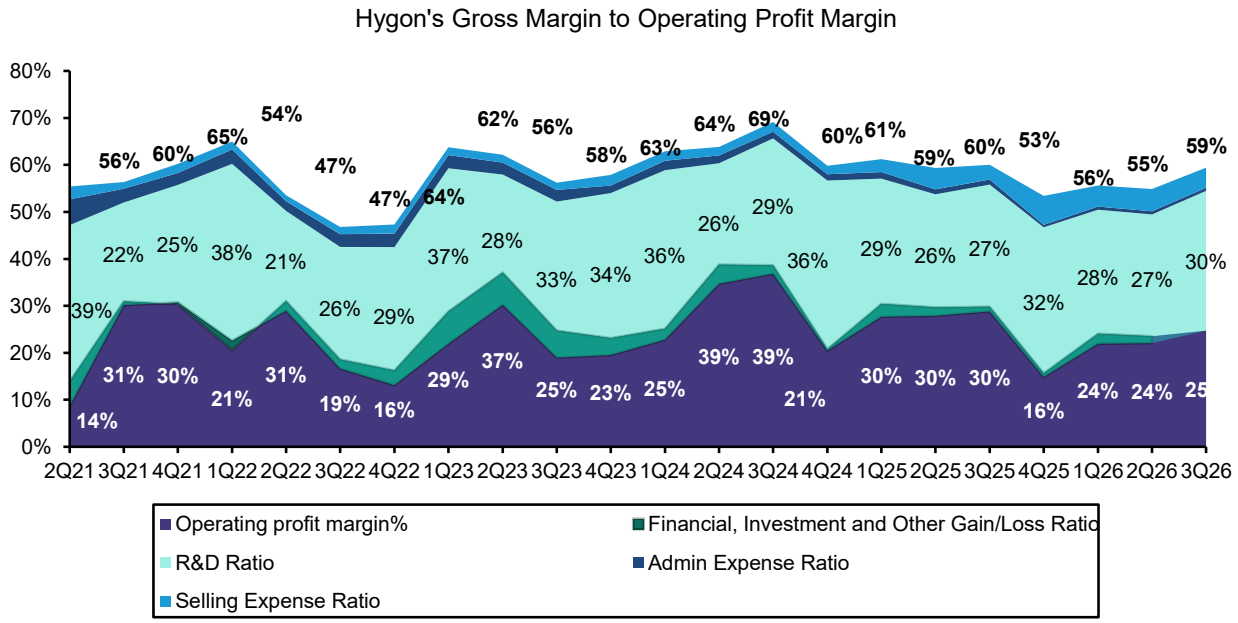
Source: Bloomberg, Company reports, Bernstein analysis and estimates

EXHIBIT 2: **Hygon's 3Q26 revenue midpoint reached RMB 5,856mn, YoY+45.5%**



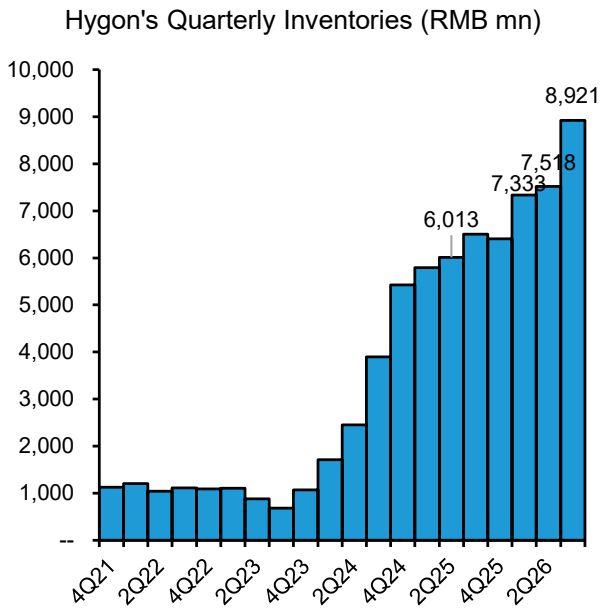
Source: Company reports, Bernstein analysis

EXHIBIT 3: **Hygon's gross margin to opreating profit margin**



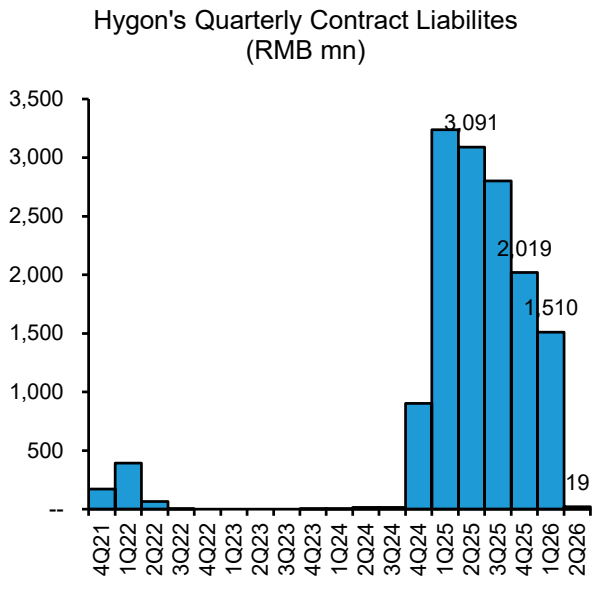
Source: Company reports, Bernstein analysis

EXHIBIT 4: **Hygon's quarterly inventory**



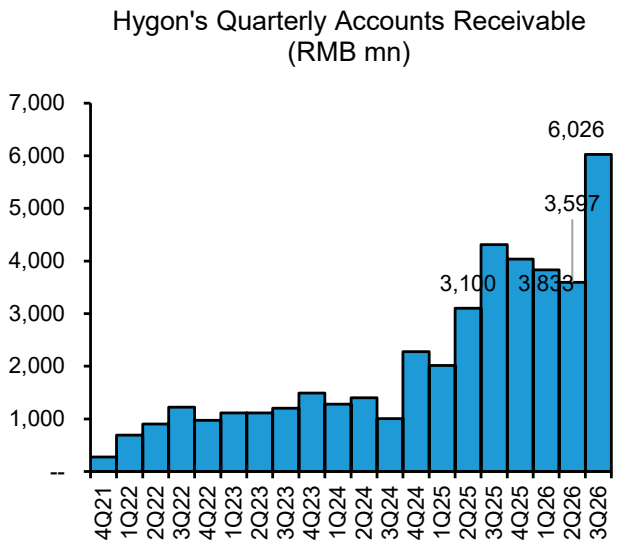
Source: Company reports, Bernstein analysis

EXHIBIT 5: **Hygon's quarterly contract liabilities**



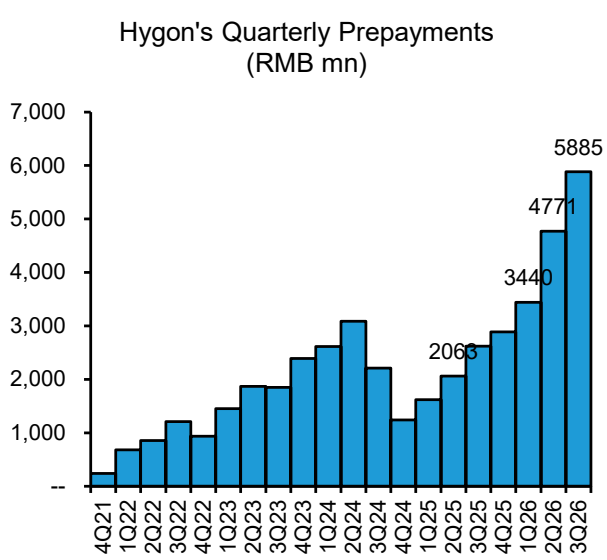
Source: Company reports, Bernstein analysis

EXHIBIT 6: **Hygon's quarterly accounts receivables**



Source: Company reports, Bernstein analysis

EXHIBIT 7: **Hygon's quarterly prepayment**



Source: Company reports, Bernstein analysis

INVESTMENT IMPLICATIONS

Hygon is the leading domestic x86 server CPU provider, which builds its technology stack on top of the AMD license, benefiting from x86 server CPU domestic substitution. Hygon's AI accelerator could be another growth engine, although its technology still lags behind leading players like Huawei (private) and Cambricon, we believe Hygon's AI chips (DCU or Deep Computing Unit, Gen-2 launched in 3Q23) could receive substantial government orders through CPU bundling, providing another growth upside. Outperform, PT CNY 450.

BERNSTEIN TICKER TABLE

			20 Oct 2026		TTM	Reported EPS				Reported P/E (x)		
			Closing	Price	Rel.							
Ticker	Rating	Cur	Price	Target	Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
688041.CH (Hygon)	O	CNY	192.00	450.00	(29.4)%	CNY	1.10	2.04	3.59	174.5	94.0	53.4
ASIAX			1,830.19									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

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VALUATION METHODOLOGY

Hygon Information Technology Co Ltd

We value Hygon (PT of CNY 450), based on 2028E EPS of CNY 6.30 and 71x P/E .

RISKS

Hygon Information Technology Co Ltd

Downside risks:

- Failure to develop future generation of server CPU products or keep up with the technology iteration with Intel/AMD.
- Supply chain risks associated with AMD technology authorization and advanced node foundry capacity due to Hygon being added to the US BIS' Entity List.
- The risks associated with slowing down of China’s Xinchuang server deployment in coming years, due to a weaker than expected China macroeconomics.
- Given Hygon is on the Entity List, the US and its Western allies may continue to impose increasingly stringent sanctions on the company.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION

EQUITY RATINGS DEFINITIONS

Bernstein brand

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/-15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

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Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

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The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
- Neutral (N): Stock will perform in line with the market index to within +/-10 pp
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Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

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- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

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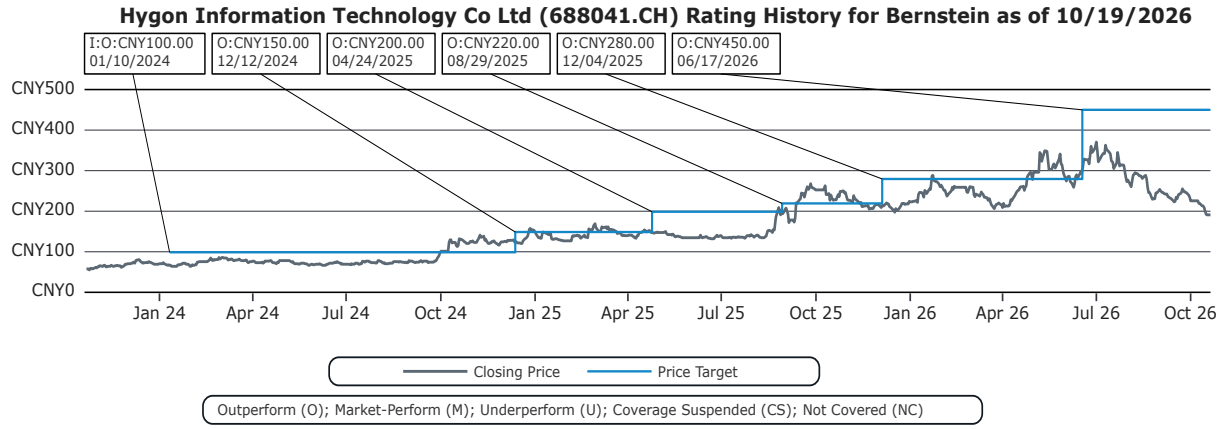
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Equity Rating	Market Abuse Regulation (MAR) and FINRA Rating Category	Global Rating Distribution	Investment Banking Relationships*
Outperform	BUY	52.3%	14.2%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.6%	16.1%
Underperform	SELL	12.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.
As of September 30, 2026. All figures are updated quarterly.

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